

T. P. Jarmon Company Loan Memo

The reason for this memo is to examine the performance of the T. P. Jarmon Company by doing an in-depth analysis of its income statements and balance sheets, and discussing whether or not I recommend the approval of an \$80,000 loan. Out of the ratios being examined the most important metrics to compare to the industry norms in order to illustrate the performance of the T. P. Jarmon Company are the acid test, long-term debt to total capitalization ratio, the ROA, operating return on investment, the total asset turnover ratio, and the fixed asset turnover ratio. Based on these numbers, the following strengths and weaknesses became apparent:

Strengths

First, The long-term debt to capitalization ratio (0.45) is far lower than the industry norm of 0.7. This indicates that the company currently relies more on equity than debt for its long term funding which indicates low-risk and high stability and potential resilience in the event of changing financial conditions. Second, the ROA of the company is over 2% more than the industry norm, and the operating return on investment is over 3% higher than the norm, indicating that its management is able to effectively manage the company's assets to create profit. Finally, The company's fixed asset turnover ratio and total asset turnover ratio are also noticeably higher than the industry average which further indicates that the company is able to use its assets to effectively generate sales.

Weaknesses

The company's low acid ratio shows that it relies somewhat heavily on the sale of its inventory to cover short-term liabilities which could be problematic if there is a fall in sales (even a temporary one). Additionally, despite being a sign of stability, the low long-term debt to capitalization ratio in some cases can represent an aversion to additional risk through debt financing which can hinder a company's growth.

Analysis

When putting everything together, the upsides of the T. P. Jarmon Company become much more clear. This company indicates a clear ability to convert assets and capital into profit and sales through its high ROA, operating ROI, and asset turnover ratios. Additionally, the T. P. Jarmon has strongly emphasized getting its funding from equity rather than debt which means it doesn't need to spend an overwhelming amount on interest or loan payments. Due to the clear ability to generate profit along with the stability resulting from carrying a proportionately small amount of debt, I would recommend that the company be approved for the loan.

<i>Ratio</i>	<i>Norm</i>	<i>Jarmon's Ratio</i>
Current ratio	1.8 times	1.84
Acid test	.9 times	0.71
Debt ratio	0.5	0.55
Long-term debt to Total Capitalization	0.7	0.45
Times interest earned	10 times	8 times
ACP	20 days	20.08 days
Inventory Turnover (Based on COGS)	7 times	6.81 times
ROA	8.40%	10.60%
Gross profit margin	25%	23.33%
Net profit margin	7%	7.15%
Operating return on investment	16.80%	19.90%
Operating profit margin	14%	13.33%
Total asset turnover	1.2 times	1.48 times
Fixed asset turnover	1.8 times	2.15 times